

India, during the last two years, has emerged as one of the most ambitious countries of the world. The Covid-19 outbreak, which caused havoc all over the world, continues to be one of the prime reasons fueling the dreams of achieving self-sufficiency (*AtmaNirbhar Bharat*) for the country. During the last eighteen months or so, the country has announced production linked incentive (PLI) schemes one after another, and electronics is being given great importance for self-sufficiency. The amount promised as incentives for the electronics sector is north of 900 billion rupees (₹90,000 crore).

However, with the recent amendments made to the Public Procurement Policy 2017, we seem to be taking a step back. The Telecom Equipment Manufacturers Association of India (TEMA) is of the view that the new notification dated 31st August 2021 issued by DoT in supersession of the notification dated 29th August 2018 is beyond the scope of mother policy notification issued by DPIIT, known as Public Procurement (Preference to Make in India) Order 2017, or PPP MII, and is not in harmony with the Prime Minister's dream of *AtmaNirbhar Bharat*.

The issue of reducing the number of products from 36 to 25 in the amendment is understandable, as more than a year was invested by DoT on this, but the logic behind allowing 100% import of components to qualify for PPP MII is not clear. Likewise, the issues of R&D, Indian design, and local content have always been supported by the authorities. In its order of August 2018 DoT had certified that the 36 products "have sufficient local capacity and local competition." The list is now reduced to 25, which means either the earlier list was wrong or the present list is non exhaustive.

The latest amendment notes that all telecom equipment will count as local content, even if they consti-

Amendment to the Public Procurement Policy 2017

What's the amendment? All telecom products where companies assembling them here in India with zero local value add are eligible for supplying these as local products to public projects falling under organisations such as Indian Defence, Railways, or BSNL.

What's the concern? 1. India might earn the tag of a country famous for offering assembling services for telecom products. All the hard work of design, R&D, innovations done by the industry—including the likes of Tejas Networks, Coral Telecom, Vihaan Telecom Limited, Sterlite, Paramount, and more—goes into vain.

2. The statement "to be reviewed once FAB in India is operational." A semiconductor fab takes a minimum of three to five years to be set up, tested and become operational. Till that happens, anyone can assemble in India and supply to government agencies. This is a guarantee that 100% import of components will be allowed almost in perpetuity.

3. National security is at stake. India, in the past, has permanently banned more than 50 Chinese apps for national security. The new amendment makes importing and selling from China, even to government agencies, 100% legal.

4. Several local companies have given in writing that they have successfully reached more than 50% local value add in products. This is not needed now and they can revert back to imports.

tute 100% imported components. Surprisingly, this also applies to 25 products listed in the order for which DoT declared that they have sufficient local capacity and local competition.

The notification also eliminates the requirement to follow DoT's own specifications of telecom equipment as notified by TEC, thus enabling procurement with any specifications, which could be restrictive or foreign based. The notification enables public procurement of such goods for even Defence, Smart Cities, Metros, Police, Railways, BSNL, etc with 100% imported components, which would be considered as local products for these public projects.

TEMA considers this to be a retrograde step that has permitted 100% import from China and other countries and made them eligible for PPP-MII, by simple assembling without even having 0.1% of local components and without any emphasis on local R&D, designing, or IPR.

It may be noted that as per Clause 5 of DoT notification dated 29th August 2018, "the local supplier has to manufacture equipment from components level in India and also develop local vendors for procurement of raw materials, components and parts for increasing local content." Further, local content

was specified as "Minimum Local Content as a percentage of total bill of material (Cost of production) to qualify as Make in India Telecom products, services or works." Both these provisions now stand superseded. The moot question raised here is, for whose benefit these conditions have been removed?

While the list of 25 telecom products that can be made from the imported components includes satellite phones, broadband equipment, optical fibre cable, modems, routers, core network routers, broadband equipment, mobile antennas, and more, there is also a PLI scheme for telecom products running which aims to promote local manufacturing of the same.

The amendment for several years

Though the amendment made to the policy has drawn flak from various associations and individuals, the DoT in its notification has clarified that the same will be reviewed once a semiconductor fab is operational in India. It might simply mean that the amendment will be in place for next three to five years at least given that India is chasing fabs for last several years.

A semiconductor fab, to be set up, tested, and operational, gener-